Three Liquidity Models

Sequence reference · first draft

All three models trade the same idea: **price moves to where orders are trapped, not to where a level looks pretty.** They differ only in what they wait for before committing.

MODEL	WAITS FOR	ENTRY	TARGET	HOLD
REV Setup Reversal fade	A sweep, then a *structure shift* against the move	Resting limit in the retracement band	Fib ladder off the entry leg	Hours to days
Retail Shake Out Failed break	A break that *fails*, then a second real break	On the second break, or a pullback into it	Nearest un-swept higher-timeframe pool	Days to weeks
Loaded Level Level lifecycle	A level to *fill with orders*, then get smashed	The instant the loaded level is stabbed	The engineered level on the other side	Hours

THE ONE DIFFERENCE THAT MATTERS

Each model asks a different question before it will trade:

MODEL	THE QUESTION
REV Setup	"Has the trend actually **shifted**?" — it needs a confirmed break in the new direction before it will look for an entry.
Retail Shake Out	"Have **both sides** been proven wrong?" — it needs one group trapped, then the opposite group trapped, before it commits.
Loaded Level	"**Where is the money** right now?" — it needs no structure shift at all, only a level it can prove holds orders.

> **Read this before teaching any of them.** These are not three ways of saying the same thing. The REV Setup will refuse a trade the Loaded Level takes every day of the week, because it is waiting for a shift the other model does not require. That is a feature — they are meant to catch different parts of a move, and running all three is how you get frequency without loosening any one of them.

BUILD STATUS — SAY THIS OUT LOUD TO STUDENTS

MODEL	STATE
REV Setup	**Built, coded and validated.** Runs live. Every rule in this document is reproduced by the bot and checked against the chart bar for bar.
Retail Shake Out	**Written down, never tested.** The rules below are a proposal. No result exists.
Loaded Level	**Reverse-engineered from worked examples.** Not coded, not measured, and no losing example has been studied yet.

A model that has not been measured is a hypothesis with good presentation. Two of these three are hypotheses.

The shared vocabulary

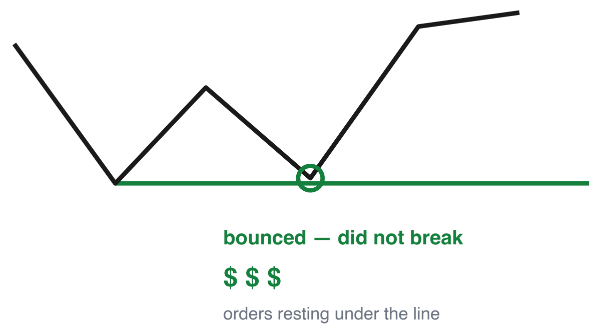
Three words. All three models use them. Learn these and the sequences read themselves.

1 · A LEVEL IS A PIGGY BANK

Every high and low on the chart is a piggy bank. Price is greedy — it travels toward the ones with coins in them. A level has exactly three states.

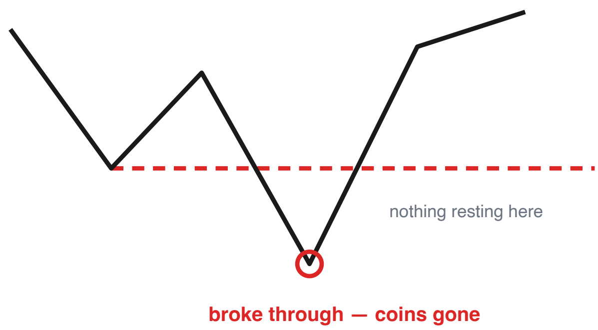
LOADED — full of coins

Price came back, respected it, and moved away.



EMPTY — already smashed

Price pushed through, took everything, and left.



The only test: **did it go past the level before it?** Yes → empty. No, it stopped short and bounced → loaded.

STATE	HOW IT GOT THERE	WHAT YOU DO WITH IT
Fresh	Just printed. Never revisited.	Nothing yet. Wait.
Loaded	Price returned, respected it, moved away.	**Target it**, or **enter when it gets smashed**.
Empty	Price traded through and never came back.	**Hide your stop behind it.**

2 · THE LIQUIDITY BLOCK — THE EMPTY ONE, AND WHY IT RUNS THE TRADE

A **liquidity block** is simply a level in the *empty* state: a low that pushed below the low before it, took those orders, and was left behind. It looks like a spike that never got revisited.

Students get stuck here because they expect it to be a signal. It is not. It is a **boundary**, and it does three jobs:

1. **It is a safe floor.** There is no money below it, so nothing is pulling price down there. That is what makes an entry just above it safe.
2. **It is where the stop goes.** Just past it — out of reach of a normal sweep.
3. **It can cancel the trade.** If it sits far below your entry, your stop is forced wide, the reward-to-risk collapses, and you skip — or drop to a lower timeframe and find a tighter version of the same idea.

> **The most common student error.** Buying *above* a loaded low because the chart "looks bullish". All three models buy **below** lows and sell **above** highs, without exception. If you are entering before the level is taken, you are the liquidity.

3 · INDUCEMENT

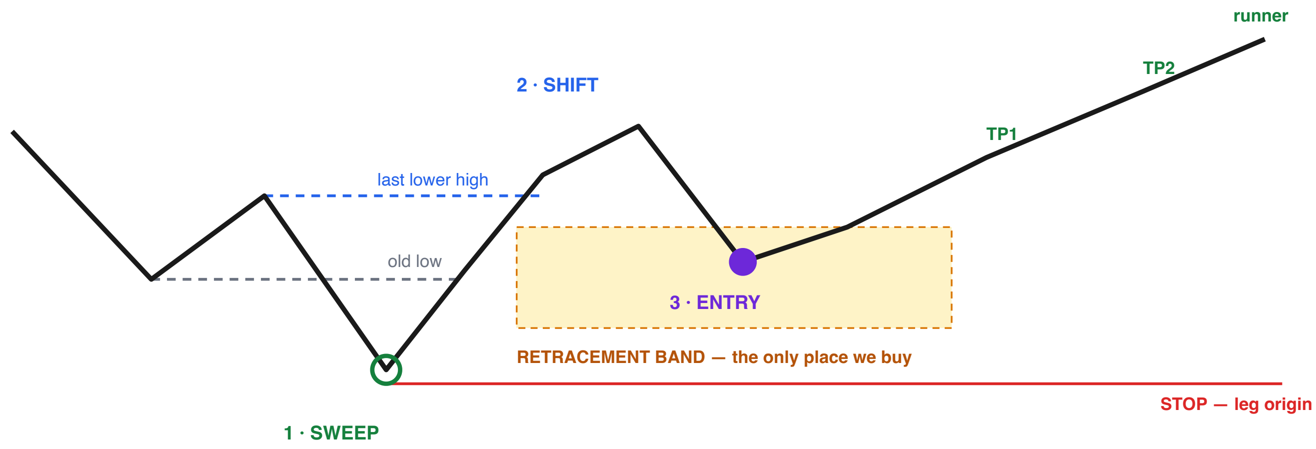
The move that makes ordinary traders commit in the wrong direction just before the real move. A high gets taken, buyers pile in, and price immediately drops through the low they were sitting above. Their stops are the fuel. Every model below has an inducement step — they just arrive at it differently.

MODEL 1

REV Setup

The reversal fade · trades the turn, not the trend · *built and validated*

Price runs a level, then **proves the turn is real** by breaking structure the other way. Only then do we buy the pullback. The proof is what makes this the strictest of the three — and the reason it trades roughly twice a month.



Long shown. Short is the exact mirror.

SEQUENCE

1. **Arm — a sweep or a divergence.** Price takes out a known low, or momentum diverges from price. A clock starts. If nothing follows within the window, the setup is dropped.
2. **Shift — structure breaks the other way.** Price must break the last lower high *while the arm is still live*. This is the confirmation the other two models do not require, and it is what earns the high hit rate.
3. **Retrace — price pulls back into the band.** Measured on the leg that just broke structure. Nothing is bought above the halfway point of that leg.
4. **Entry — a resting limit** at the edge of a price gap inside the band. Set and forget: price either comes to it or the trade never happens.
5. **Stop** at the origin of the leg — the low the whole move launched from.
6. **Targets** step up the same leg. Partials at the first two, the rest runs on a trailing stop that follows structure.

> **What kills it.** An opposite shift · the full target being reached · price closing back below the leg origin · structure breaking *with* the old trend before the pullback ever arrives. Any one of those and the setup is dead — you do not wait for it to come back.

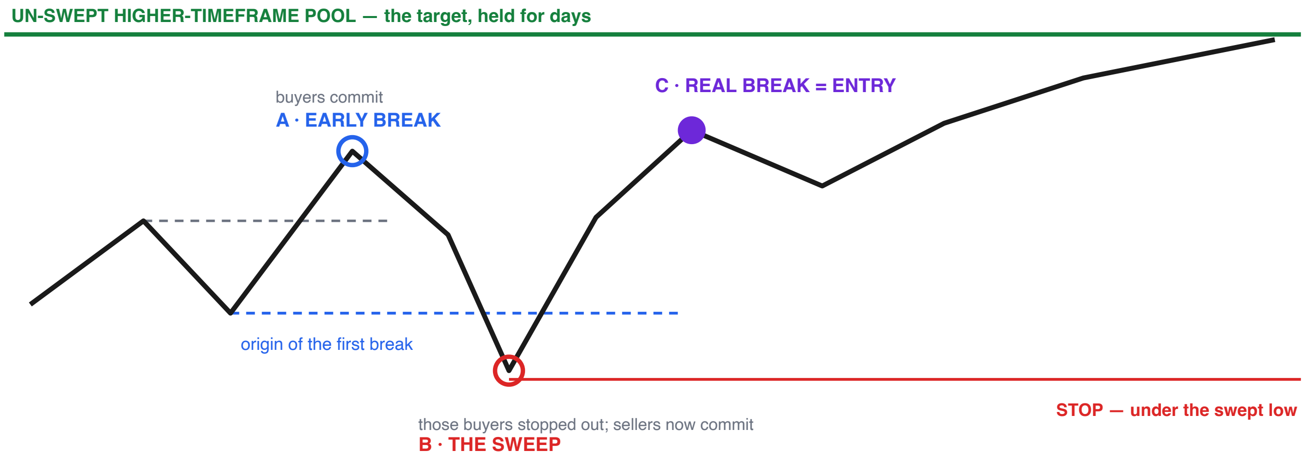
Character: few setups, high hit rate, moderate reward. The edge lives in a small number of large winners, so cutting runners early destroys it.

MODEL 2

Retail Shake Out Model

The failed break · both sides wrong within a few bars · *proposal only, never tested*

The densest trap available is **a break of structure that fails**. The break brings buyers in with stops just behind it. Price runs those stops. The traders stopped out then flip short — and the real break takes them too. Both sides are wrong inside a handful of bars, and that is the moment to enter.



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SEQUENCE

1. **Bias.** Read the higher timeframe. Trade only with it.
2. **Discount.** Price must be in the cheap half of the higher-timeframe range. Buying is only allowed below the midpoint; selling only above it.
3. **Event A — the early break.** Structure breaks up. Buyers commit with stops behind the low the break launched from. That low is now on the clock.
4. **Event B — the sweep.** Price falls back and *wicks below* that low. The early buyers are out. Sellers read it as a reversal and commit. This is the failure that names the model.
5. **Event C — the real break.** Price breaks up again, **aggressively.** The sellers from B are now trapped too. Enter here, or on a shallow pullback into this leg.
6. **Stop** below the lowest point reached between A and C.
7. **Target** the nearest un-swept higher-timeframe pool. Because the stop sits on a small-timeframe low and the target sits days away, the reward-to-risk is structurally large.

> **Stacking — and the rule that makes it safe.** Several positions may be added to one idea, but **only when every existing one is already at breakeven**. At most one position ever carries risk. This is why a very large combined result can come from ordinary individual trades — and why it must never be quoted as a per-trade figure.

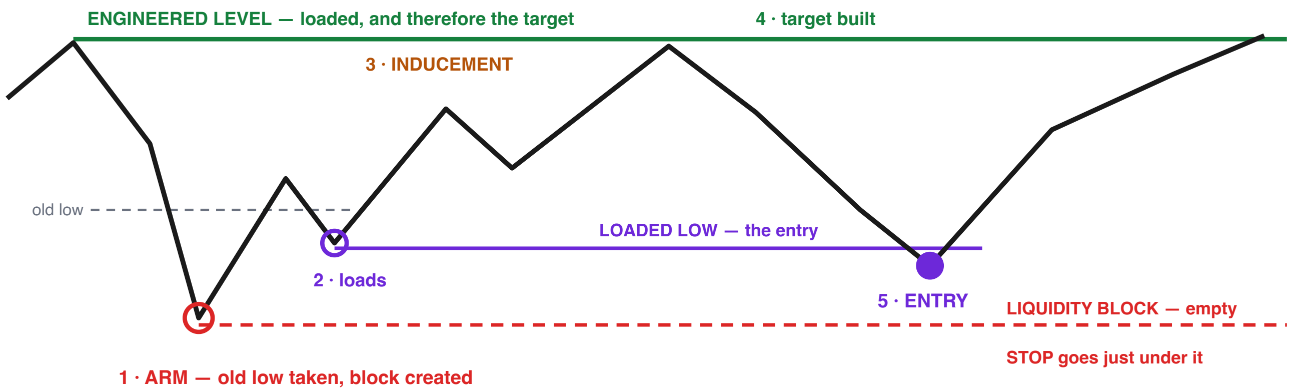
> **What kills it.** The swept low being taken again · the stop coming out wider than the ceiling · a target closer than the minimum reward-to-risk. And the expensive one: **failing to redraw the range once the target is reached** — the old discount becomes a premium, and you keep buying it.

MODEL 3

Loaded Level Model

Read which levels hold money · no structure shift required · *reverse-engineered, unmeasured*

This model does not wait for a trend to change. It **looks left, works out which levels are loaded and which are empty**, and trades the moment a loaded one is smashed. It starts by finding the empty one — the liquidity block — because that is what tells you where risk can sit.



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SEQUENCE

1. **Look left. Arm on a sweep.** Price trades below an old low and walks away. That extreme is now a **liquidity block** — empty, nothing to drag price back into it. From here we look for longs only, and we already know where the stop lives.
2. **A level loads.** Price bounces and prints a low that *respects* an earlier low without breaking it. Buyers now sit above it with their stops below. This is the entry level — mark it and leave it.
3. **Inducement.** Price rallies and takes out a minor high. More buyers commit. They are the fuel.
4. **The target is built.** Price prints a high that respects earlier highs, then turns away. That high is now loaded — **this is the step that makes it a trade**. No loaded level above, no setup, however good the rest looks.
5. **Entry.** Price sells back and stabs the loaded low from step 2. Buy the instant it is taken. No waiting for a candle to close, no refining inside the level.
6. **Stop** just under the liquidity block from step 1.
7. **Target** the loaded high from step 4. Hold most of the position to it.

Where the big reward-to-risk actually comes from. Not from picking better targets — from finding the same setup on a lower timeframe, where the block is closer and the stop is a third of the size. The target does not move. The stop shrinks. Everything else is timing.

What kills it. No loaded level on the far side · the block so far below that the stop is unaffordable · the loaded low breaking and price failing to recover. On a failed attempt the direction is not wrong — wait for a new level to load and take it again.

Side by side

Same page, same order, every time.

	REV SETUP	RETAIL SHAKE OUT	LOADED LEVEL
Starts with	A sweep or a divergence	A higher-timeframe bias and a discount	Looking left for the empty level
Confirmation	Structure shifts against the old trend	A break fails, then a second break	**None required**
Entry trigger	Limit rests in the retracement band	The second break, or a pullback into it	The loaded level is stabbed
Stop sits	At the origin of the shift leg	Under the swept low	Just past the liquidity block
Target	Fib ladder on the same leg	Un-swept higher-timeframe pool	The loaded level opposite
Positions	One at a time	Several, but only one at risk	One at a time
Typical hold	Hours to days	Days to weeks	Hours
Frequency	Low — a couple a month	Very low — a handful a year	Higher — several a week across instruments
Where it fails	Waits for a shift that never comes and misses the move	Range-bound price makes every wiggle look like a failed break	Without a rule for what counts as “respecting”, every level looks loaded

HOW TO TEACH THEM IN ORDER

1. **Loaded and empty, first and alone.** Do not introduce a single model until a student can mark loaded and empty levels on a blank chart and defend each one. Everything downstream is this.
2. **REV Setup second.** It is the strictest and the only one that has been proven, so a student can be corrected against a known answer.
3. **Loaded Level third.** Same vocabulary, no confirmation step — it shows what the confirmation in the REV Setup was buying.
4. **Retail Shake Out last.** It needs the most patience and the longest hold, and it is the easiest to see where it is not.

> **The rule that outranks all three models.** Two of these have never been measured. Teach them as reasoning, not as results, and do not quote a reward-to-risk figure from a worked example as if it were an average — worked examples are chosen after the fact, and a model shown only on its winners has no known hit rate at all.